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Investor Presentation | Asia Pacific

Asia Summer School 2026: ASEAN Telecoms & Data Centers

We take a deep dive into the five key drivers of ASEAN Telecom stocks: Competition, Capex, Regulation, Capital Allocation, and Valuations. We also explore how telecom operators are benefitting from rising data center demand in the region.

MORGAN STANLEY ASIA (SINGAPORE) PTE.+

Da Wei Lee

Equity Analyst

Dawei.Lee@morganstanley.com

+65 6834-6510



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ASEAN Summer School 2026

The background of the slide features a close-up of clear blue water with sunlight filtering through, creating a shimmering, rippled effect. On the right side, a portion of a dark wooden desk is visible. Resting on the desk are a pair of white over-ear headphones and a book. The book's cover is partially visible, showing the words 'Summer Asia' in a serif font.

Five Underlying Drivers

Competition

This is a function of 1) the number of market participants, 2) structural forces (i.e., voice/SMS cannibalization), and 3) regulatory events (e.g., spectrum auctions).

High levels of competition correlate with lower market returns and vice versa – lower competition tends to result in higher returns.

Capex cycle

This is driven by 1) technology upgrades (4G to 5G), 2) network expansions, and 3) fixed-network investments (fibre rollouts).

High levels of expected capex will decrease return on invested capital (ROIC) and can limit capital distributions.

Regulation

How much influence do regulators exert on the industry, and is this expected to change?

Examples include spectrum auctions, interconnection fees, industry consolidation, and network sharing.

High levels of regulation can result in lower shareholder returns, with new players entering the market or by fostering limits on capital returns.

Capital allocation

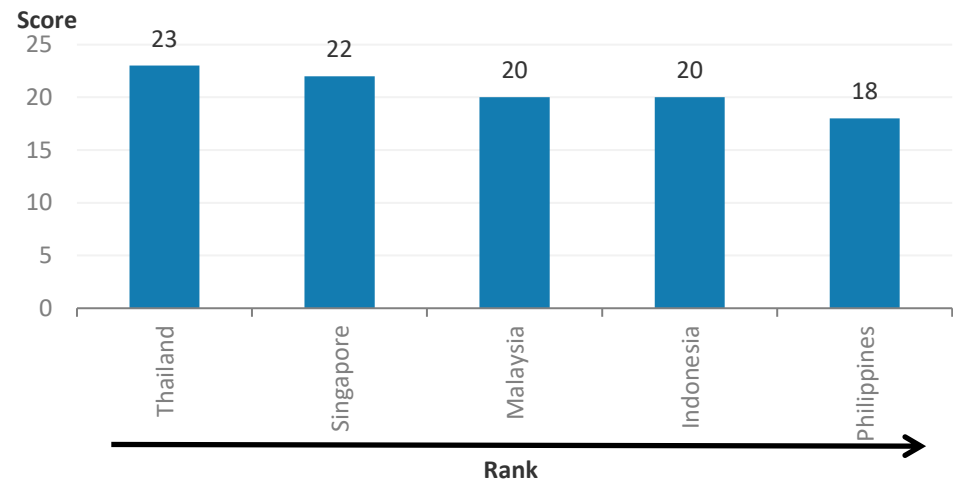
Capital allocation flexibility is determined by balance sheet strength, which then drives dividend policy and M&A policy.

Capital returns have historically been a strong driver of alpha generation for telco stocks.

Valuations

We think investors should focus on multiple metrics, not just one – EV/EBITDA, dividend yield, FCF yield, ROE and P/BV, and ROIC.

Ranking of ASEAN Telco Markets for 2026: TH>SG>MY>ID>PH



Country	Competition Cycle		Capex Cycle		Regulation Cycle		Capital allocation		Valuation		Total	Rank
	Current	Outlook	Current	Outlook	Current	Outlook	Current	Outlook	Current	Outlook		
Thailand	3	3	2	2	2	2	2	3	1	3	23	1
Singapore	1	3	3	2	2	2	3	3	1	2	22	2
Malaysia	1	2	3	1	2	2	2	3	2	2	20	3
Indonesia	2	2	1	1	2	2	1	3	3	3	20	3
Philippines	2	1	1	2	3	2	2	1	3	1	18	5

Source: Morgan Stanley Research.

Indonesia: Competition Expected to Improve in Java, but Rise ex-Java

Number of industry participants (consolidated to three)

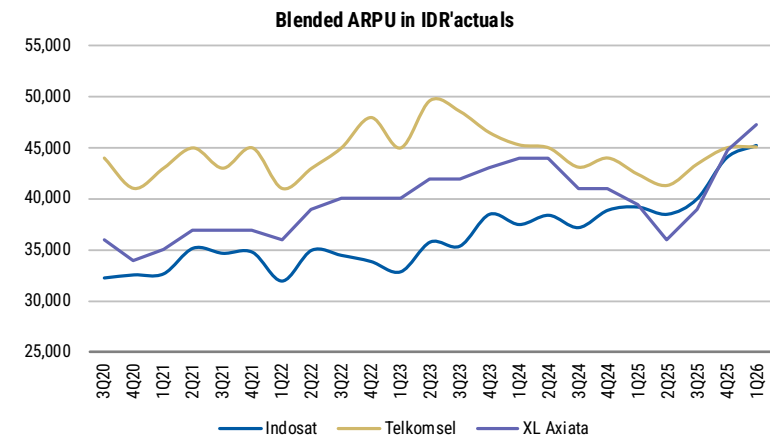
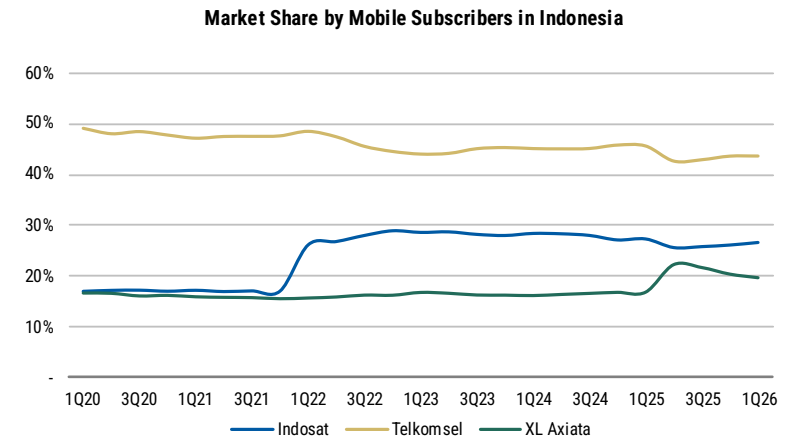
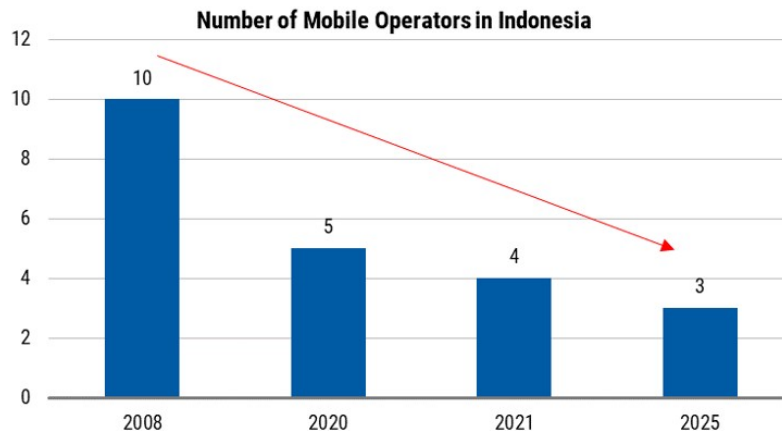
- Consolidated from 10 players in 2008 to three today.
- Tsel is Indonesia's market leader with ~45% subs market share.
- ISAT and H3I merged to form Indonesia's #2 mobile player in 2022.
- XL Smart was formed following the EXCL+FREN merger in 2025.

Industry structure:

- Largely prepaid subs; mobile revenue driven by data revenue (legacy voice/SMS has fallen from >60% of revenue in 2015 to <10% today).

Recent developments:

- Competition has improved since 2H25.
- We expect network coverage/quality to improve ex-Java now with ISAT and EXCL bigger/stronger post their respective mergers.
- ARPU converging towards Rp45k between all three operators.



Source: Company data, Morgan Stanley Research.

Thailand: Competition Expected to Stay Rational in a Duopoly Market

Number of industry participants (3 key players to 2)

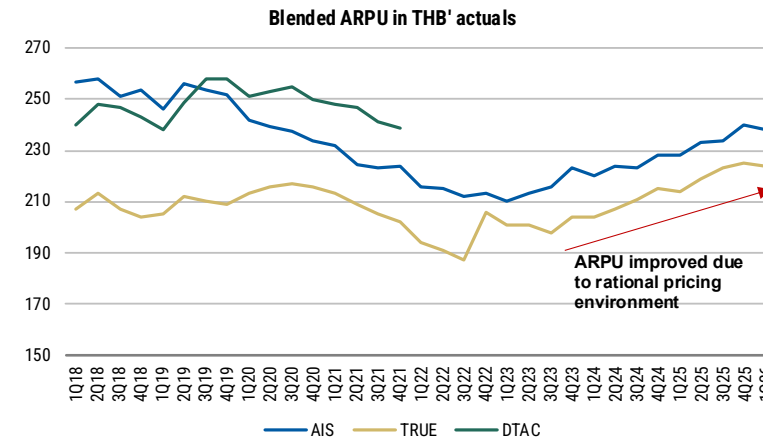
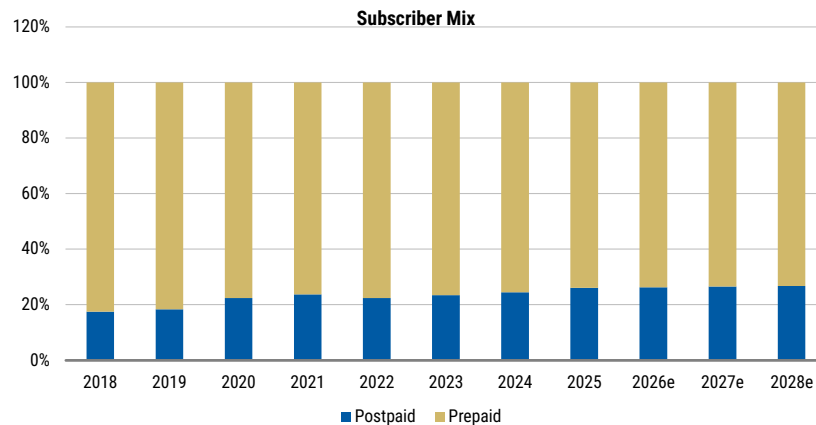
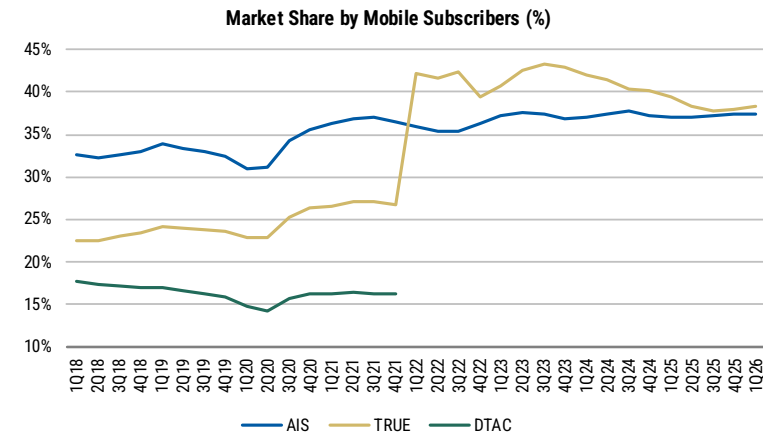
- TRUE is Thailand's market leader following the merger with DTAC in 2022. It has ~40% subs market share.
- AIS' market share is ~40%.
- SOEs TOT/CAT merged to form National Telecom.

Industry structure:

- Largely prepaid subs (>70%), but migration toward postpaid and transitioning towards 5G.
- Competition has been stable post merger.

Broadband – ARPU on the rise

- We expect broadband penetration to rise ~1ppt in 2025-28e, to ~58%.
- We observed broadband ARPU rising through 2024 as operators removed discounts, etc.



Source: Company data, Morgan Stanley Research estimates.

Singapore: Competition to Sustain in Mobile, Intensifying in Broadband

Number of industry participants (4 players but may consolidate)

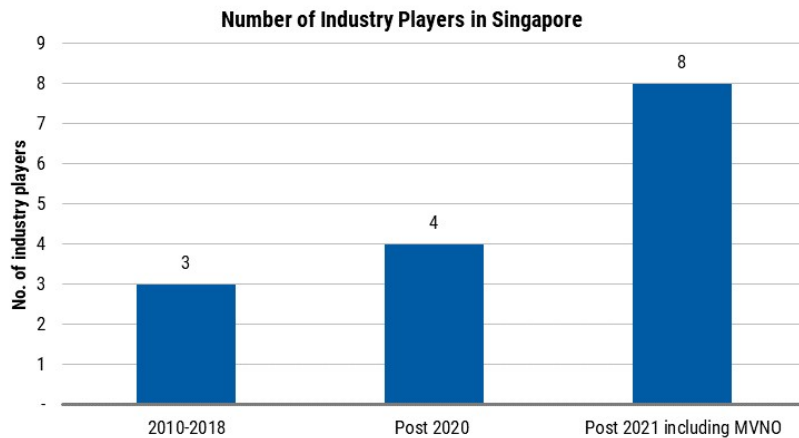
- 4-player market – SingTel is the incumbent with ~45% subs market share.
- TPG won rights to be the fourth telco in Singapore in 2016.
- Competition in SIM-only plans remains highly intense.
- Simba + M1 deal suspended; SingTel is keen to participate

Industry structure:

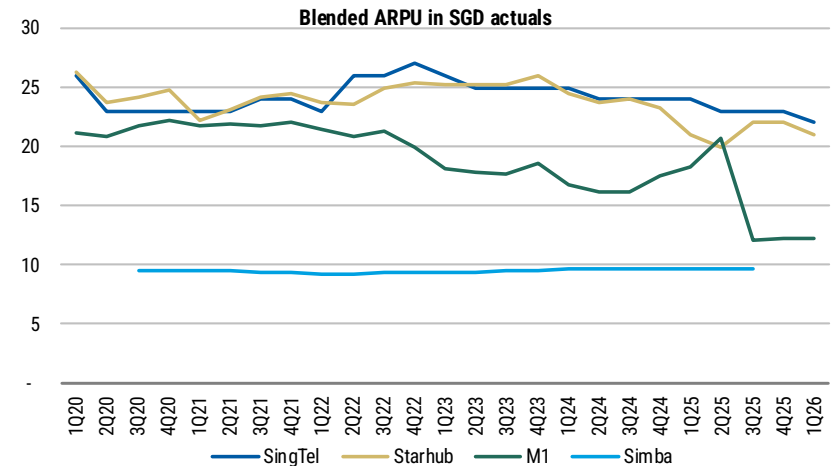
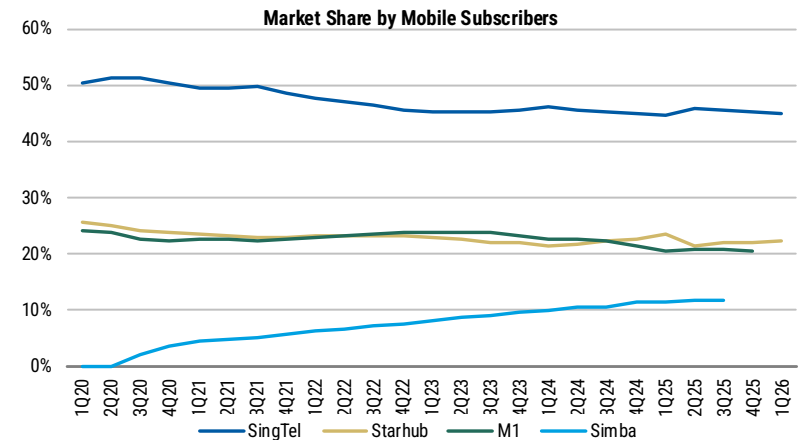
- Largely postpaid subs market.
- A number of MVNOs have entered since 2016.
- Proliferation of SIM-only plans.

Broadband – SIMBA pushing the competition

- Competition in broadband moved a notch higher in Singapore since SIMBA launched its broadband plan in 2024. SIMBA is currently offering a 10Gbps speed plan at S\$30.



Source: Company data, Morgan Stanley Research.



Philippines: Third Player is Still Hanging Around

Number of industry participants (up from 2 to 3)

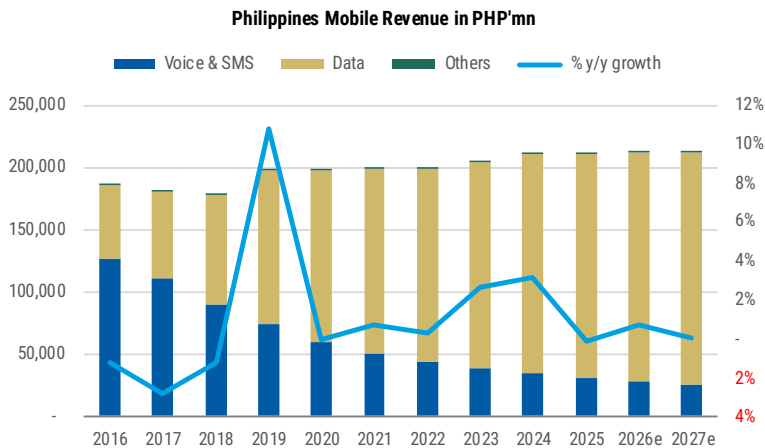
- Historically a two-player market, with a new entrant (Dito) launched in March 2021.

Industry structure:

- Largely prepaid subs; data revenues driving growth and replacing legacy voice/SMS revenues (this has fallen from ~80% of revenue in 2013 to ~6% in 2026e).

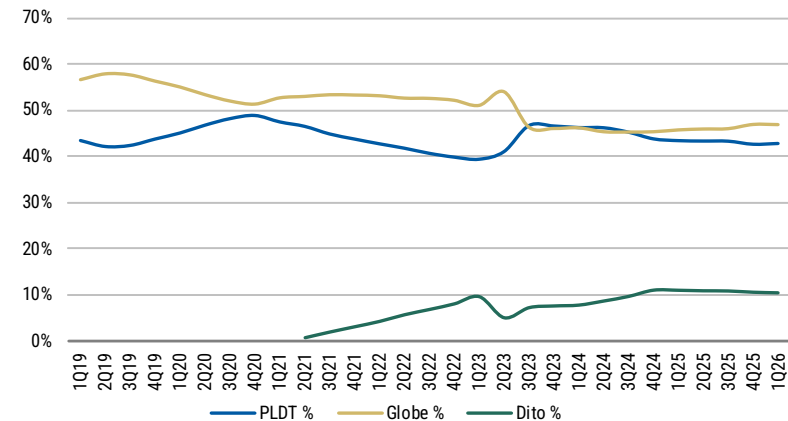
Broadband – lower pricing arising from affordability issues

- Broadband penetration to rise ~2ppt p.a. over 2025-28e to 37%; this is still lower than the ASEAN average of ~50%.
- Affordability is an issue, with broadband ARPU as a percentage of household income at one of the highest levels in ASEAN: ~2.5% vs. the ASEAN average of 1.6%.

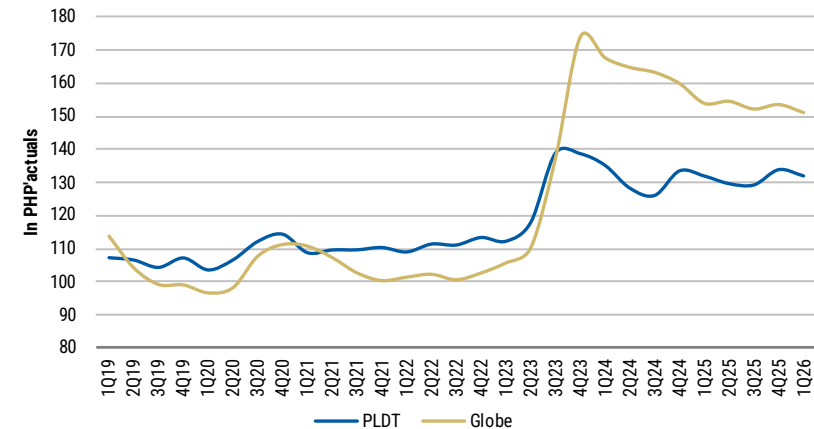


Source: Company data, Morgan Stanley Research estimates.

Market Share by Mobile Subscribers in Philippines (%)



Blended ARPU in PHP actuals



Malaysia: Competition is High

Number of industry participants (consolidated from 5 to 4)

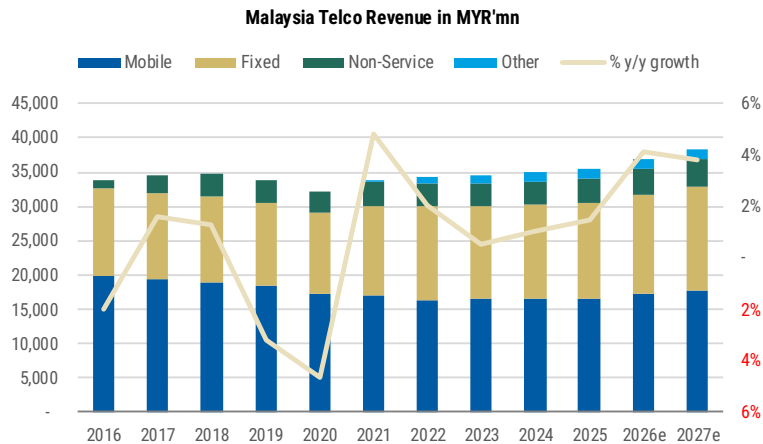
- Celcom-Digi merger completed in Dec 2022

Industry structure:

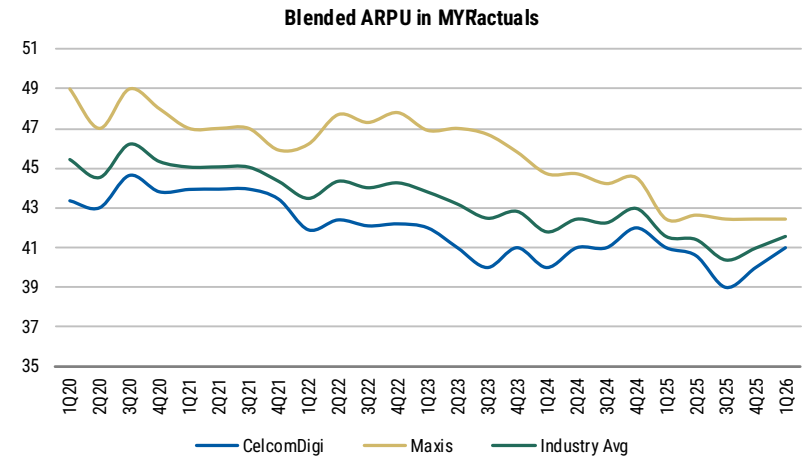
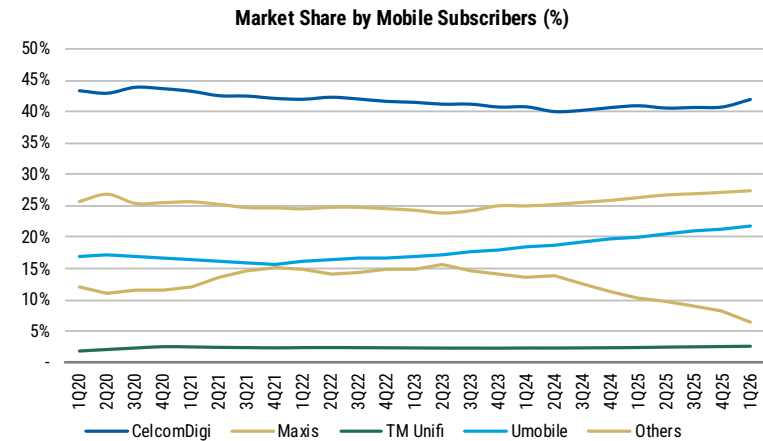
- Largely prepaid subs (~70%), but migration towards postpaid

Recent developments:

- CelcomDigi & Maxis each injected RM202mn shareholder advance to DNB
- U Mobile sold its entire stake in Digital Nasional Bhd (DNB) in May 2025 and is currently pushing its own 5G network plans
- TM invoked rights to terminate the 5G agreement with DNB; it signed a deal with U Mobile in February 2026



Source: Company data, Morgan Stanley Research estimates.



Indonesia: Capex has Peaked, but 5G Poses Downside Risk

Technology upgrade:

- ISAT and EXCL have hiked their capex over the past few years to expand their network coverage ex-Java.
- Indonesia telcos have passed their peak capex, with capex at <30% of sales.
- 5G – Indonesia launched 700MHz and 2.6GHz spectrum auction in April 2026.

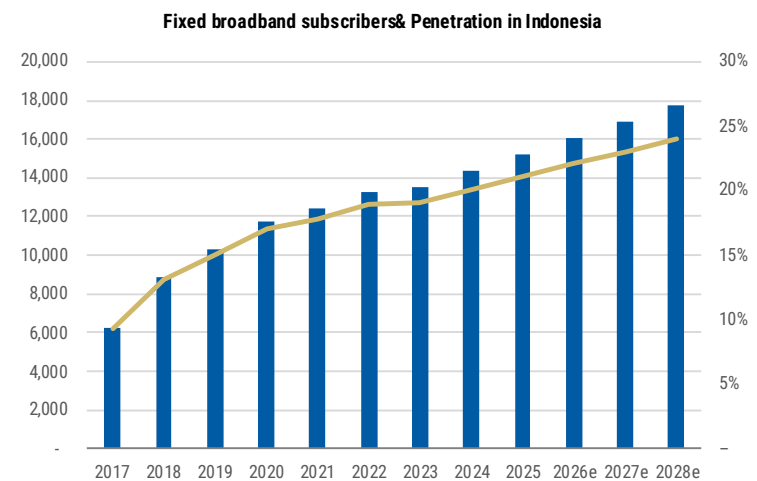
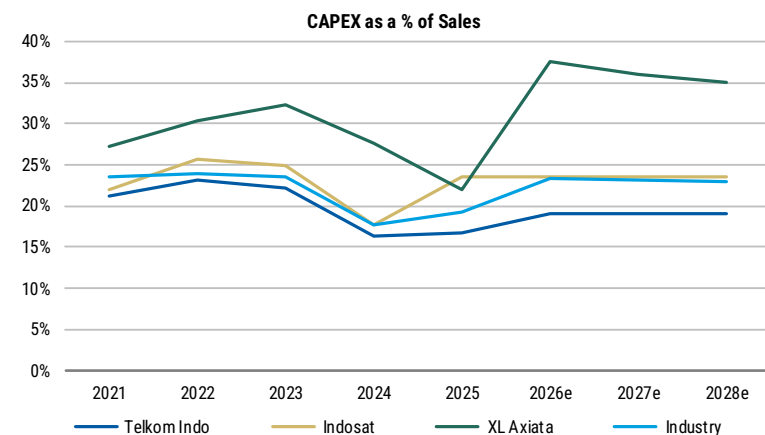
Network expansion:

- All operators have phased out 3G BTS.
- EXCL had 12k 5G BTS as of 1Q26
- Tsel had 5.4k 5G BTS as of 1Q26
- ISAT had 10k 5G BTS as of 1Q26

Fixed network investment:

- Fixed broadband household penetration in Indonesia was 21% in 2025, and we forecast this to rise to 24% by 2028e.
- TLKM is spinning off its fiber assets.
- ISAT targets 8-10% subscriber market share by 2028.

Source: Company data, Morgan Stanley Research estimates.



Thailand: Capex has Peaked

Technology upgrade:

- 5G spectrum auction was held in Feb-20; prices were reasonable.
- Operators launched 5G plans at end-2020.
- Another round of spectrum auctions held in June 2025.

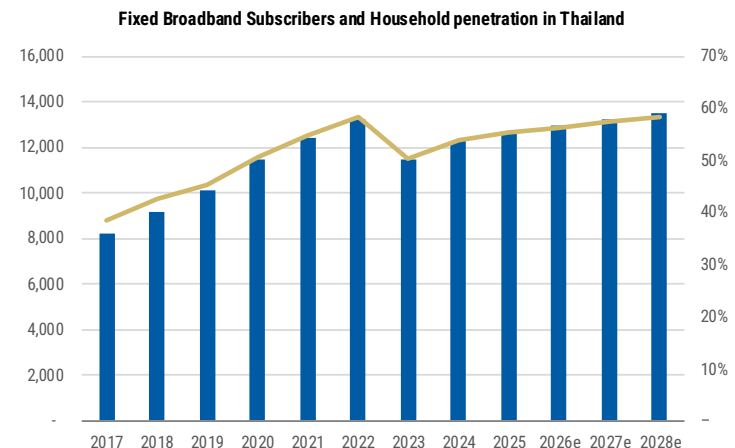
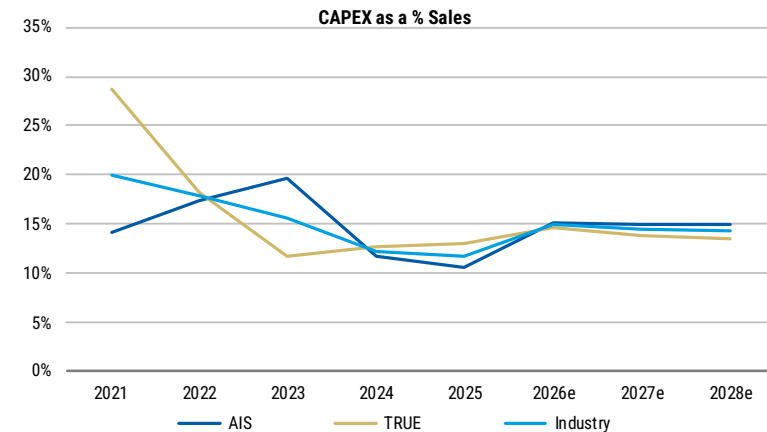
Network expansion:

- The operators showed a significant increase in capex in 2015, as they aggressively rolled out 4G.
- All operators have finished their 4G rollouts and have begun their 5G rollouts.
- We saw small capex increases for Thailand through 2023 and 2024, as 5G technology was being deployed, but not at the steep increase as seen during the 4G upgrade.
- We expect capex as a percentage of sales to trend downward, closer to 13%, as operators have passed their peak 5G investment.
- AIS covers >95% of Thailand's population; 39% of its subs are on 5G.
- TRUE has 98.9% nationwide coverage; 38% of its subs are on 5G.

Fixed network investment:

- Fixed broadband household penetration in Thailand was 55% in 2025, and we forecast this to rise to 58% by 2028e.
- Growth spiked in 2019/2020 due to increased demand from the work-from-home Covid-19 situation.
- We expect telcos to continue to roll out fibre across Thailand.
- AIS' acquisition of Triple T Broadband was completed in 2023.

Source: Company data, Morgan Stanley Research estimates.



Singapore: Capex has Peaked; Cybersecurity Risks are Rising

Technology upgrade:

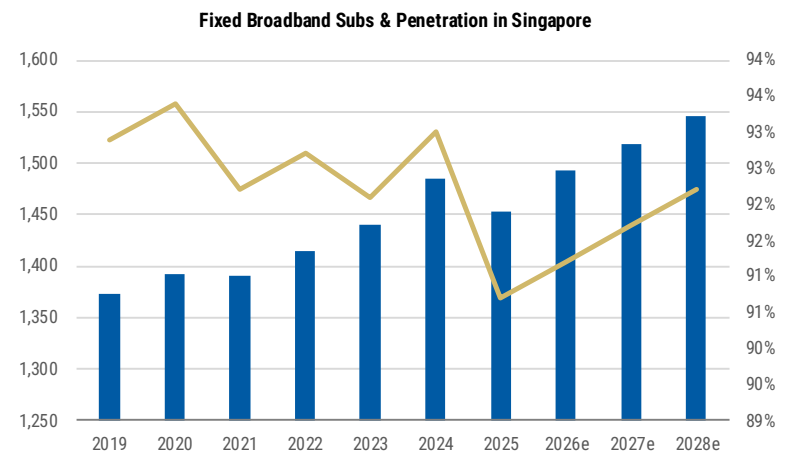
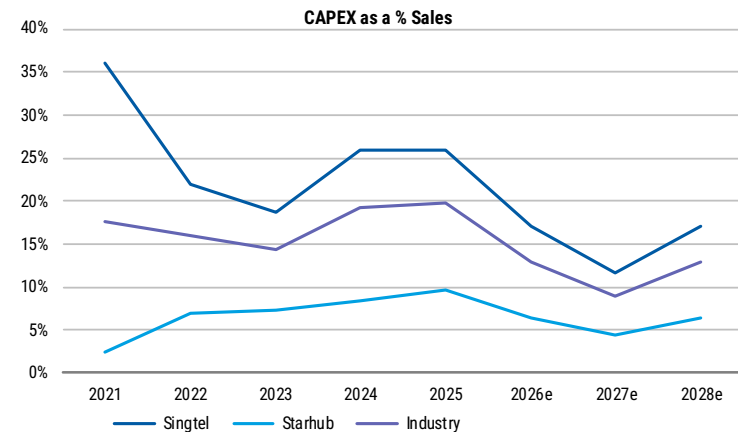
- Singapore is a small, densely populated island, which makes mobile network deployment easy as compared with larger, less densely populated countries.
- All operators are done with 5G coverage across Singapore and almost done with 5G.
- Singapore is significantly raising its national telco cybersecurity standards.

Network updates:

- SingTel achieved nationwide 5G standalone coverage in Singapore ahead of schedule.

Fixed network investment:

- Fixed network investment in Singapore is modest for all players because of NetLink NBN Trust.
- 10Gbps broadband is becoming increasingly available, part of a nationwide effort to upgrade broadband infrastructure from the current 1Gbps speed.



Source: Company data, Morgan Stanley Research estimates.

Philippines: Capex has Already Peaked, but Will Remain Elevated vs. Other Countries

Technology upgrade:

- PLDT's 5G BTS 5.4k
- Globe 408 5G sites installed

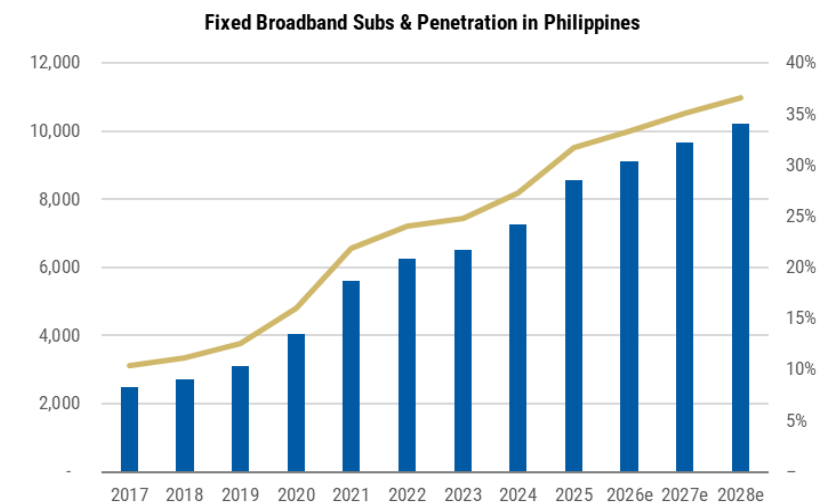
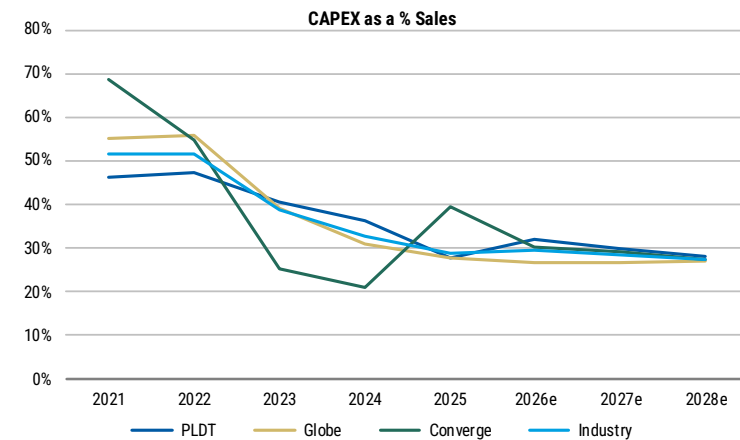
Network expansion:

- GLO has achieved 5G 99% coverage in Metro Manila and 98% in VisMin.
- PLDT 99% 5G coverage (NCR + Rizal)

Fixed network investment:

- Fixed broadband penetration in the Philippines was 32% in 2025, and we expect this to grow to 37% in 2028e.
- PLDT and Globe migrated broadband users to fiber; Globe is shifting its strategy away from Fixed Wireless Access (FWA) towards fiber.

Source: Company data, Morgan Stanley Research estimates.



Malaysia: Capex is Low but May Rise

Technology upgrade:

- 5G – Transition to dual network

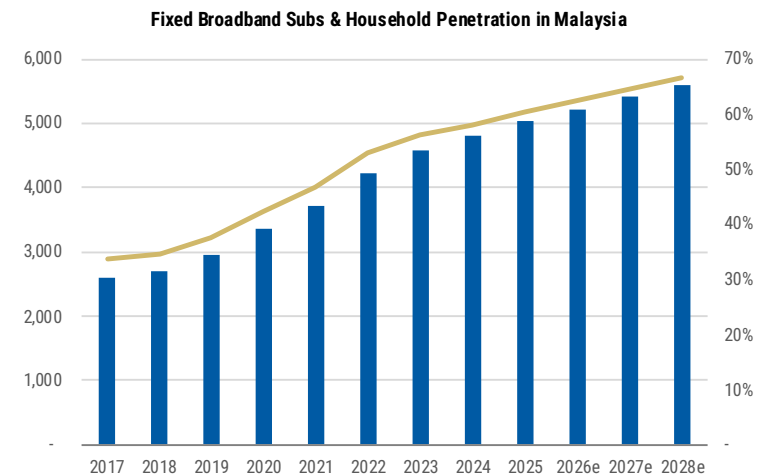
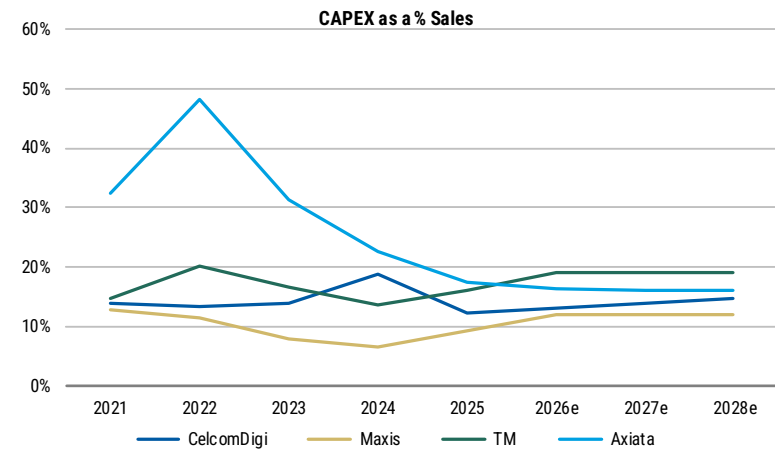
Network expansion:

- First 5G network by DNB achieved 80% population coverage as of December 2023
- U Mobile launched its 5G network and achieved 83% population coverage as of March 2026

Fixed network investment:

- Fixed broadband penetration in Malaysia was 60% in 2025, and we expect this to grow to 66% in 2028e.
- We expect TM to maintain its market leadership with >60% subscriber share

Source: Company data, Morgan Stanley Research estimates.



Indonesia: Regulator has Moderate Influence, and we Expect This to Sustain

Regulator/Govt	Omnibus Law	Consolidation
• Has a strong influence on the telco market, as TLKM is 52% owned by the government • Set-up of Danatara sovereign wealth fund • Key initiatives: • Streamlining • Infra monetization • Higher dividends	• Spectrum sharing allowed • Approved sharing of telecom infrastructure • Foreign ownership limits removed (previously 67%) • Mandated transition from analog to digital broadcasting to free up spectrum for 5G	• ISAT merged with H3I in January 2022 • EXCL merged with FREN in April 2025

Source: Company data, Morgan Stanley Research.

Thailand: Regulation has Improved

Spectrum:

- Previously a concession structure, it has now moved to a license regime.
- 2015 spectrum auction for 900MHz was at a ~329% premium to global average pricing.
- 5G spectrum prices were reasonable.
- 900MHz payment terms were relaxed.
- 2100MHz / 2300MHz renewed at reasonable rates.

Court cases against TOT/CAT were gradually resolved

Covid-19 support:

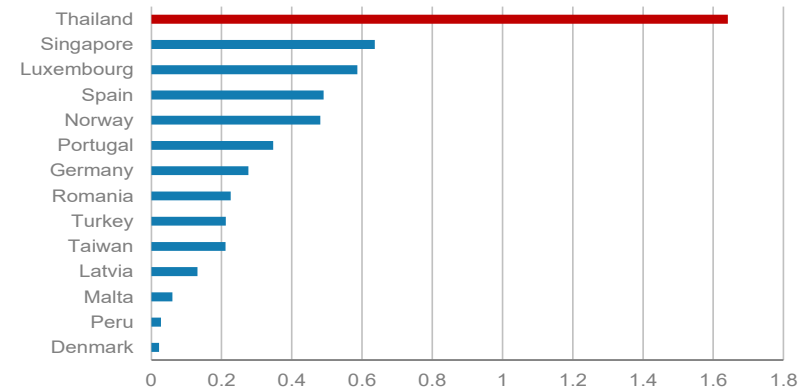
- Mobile users were given free 10GB of data usage per month from April to June 2020.

Mergers:

- TOT merged with CAT to form National Telecom in January 2021 after several years of delays.
- TRUE-DTAC merger was completed in early 2023.
- AIS' acquisition of Triple T Broadband completed in 2023.

Source: Company data, Morgan Stanley Research.

Thai 900MHz was ~329% premium to global average



5G auction spectrum prices were reasonable

Price (Bt bn)	700MHz	2600MHz	26GHz	Total
AIS	17.2	19.6	5.3	42.1
True		17.9	3.6	21.4
DTAC			0.9	0.9
TOT			1.8	1.8
CAT	34.3			34.3
Total	51.5	37.4	11.7	100.5
Population (mn)	70	70	70	
THB/USD	31.21	31.21	31.21	
Per MHz per pop (US\$)				
Thailand	0.79	0.09	0.002	
Global average	0.63	0.14		
% premium / (discount)	25%	-37%		

Singapore: Regulation Relatively Unchanged

4th mobile player:

- Simba won the spectrum auction in December 2016.
- MVNOs have started joining the fray since then.
- Simba launched commercially in April 2020.
- Simba + M1 deal suspended in May 2026

5G network rollout:

- SingTel and StarHub/M1 JV awarded 5G national licenses.
- SingTel announced in July 2022 that it had achieved over 95% 5G nationwide coverage; this is three years ahead of the regulatory target of end-2025.
- 2.1GHz - 15Mhz awarded to StarHub/M1 consortium, 20Mhz to SingTel and 10MHz to TPG.
- TPG was allowed to use 2.3GHz for 5G NSA trial.

Broadband:

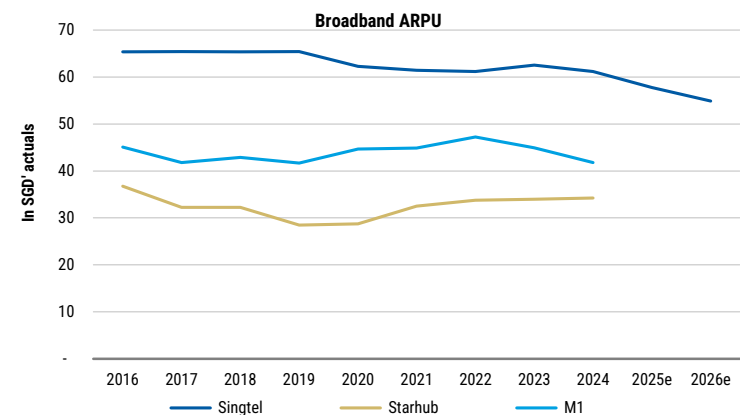
- Number of major broadband players has risen.
- This has resulted in broadband ARPUs falling at ~3% CAGR from 2012-24.
- Singapore actively upgrading broadband to 10Gbps.
- SIMBA offers 10Gbps at S\$30.

Source: Company data, Morgan Stanley Research.

Number of mobile providers has increased...



Broadband prices fell 3% p.a. from 2012-24



Philippines: Regulation has Increased

New Entrants	Common Tower Policy	Foreign Ownership Limit	Others	Knektadong Pinoy Act
• July 2019, Dito received a license to operate as the country's third telco operator. • Dito launched commercially in 2021 and had acquired 17mn subs as of July 2023 (~10% subscriber market share). • Starlink was given the green light to operate in 2022.	• The government aims to improve service quality by encouraging the construction of tens of thousands of new towers. • The Department of Information and Communications Technology (DICT) said the Philippines needs another 50k cell towers on top of the ~18k that PLDT/Globe have built. • Tower-sharing regime will aid Dito's rollout. • PLDT and Globe have sold ~15k towers.	• In March 2022, the government removed the 40% foreign ownership cap in industries such as telcos, airlines, domestic shipping, and railways. • Foreign nationals can now own up to 100% of capital in telcos. • A reciprocity clause prohibits foreign citizens from owning >40% of critical infrastructure, unless their country provides similar access to Filipino investors.	• The SIM Registration Act was enacted December 2022 – to curb cybercriminal activities. • Mobile Number Portability of 2019 allowed subs to change providers without changing their number.	• No congressional franchise needed • Open Infrastructure sharing • Accelerated deployment

Source: Company data, Morgan Stanley Research.

Malaysia: Regulatory Uncertainty

Mobile consolidation:

- Celcom + Digi's proposed merger in 2019 did not go through
- Celcom/Digi merger talks were re-initiated in April 2021
- April 2022 – MCMC laid out concerns over the merger
- June 2022 – MCMC approved the merger
- December 2022 – The merger was completed

5G rollout plans:

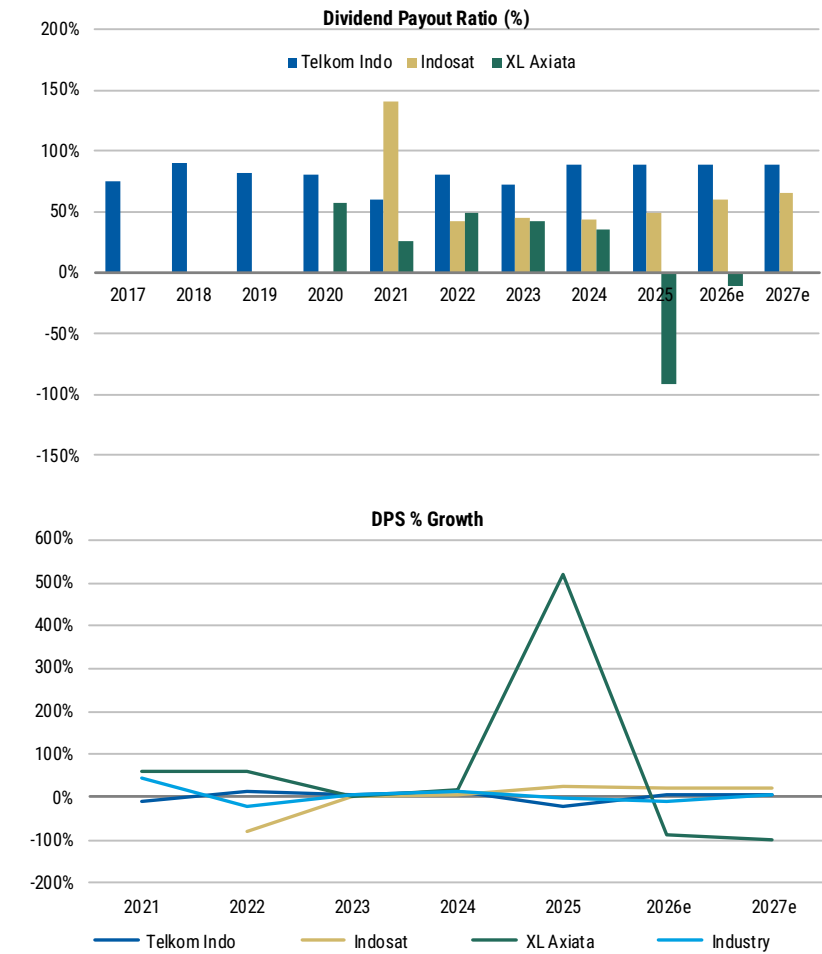
- Initial plan was to award the 5G spectrum to a consortium
- May 2020 – 5G spectrum awarded without open tender
- June 2020 – 5G spectrum awarded was revoked
- March 2021 – DNB deployed 5G through a Single Wholesale Network
- December 2021 - Malaysia reconsidered a plan for a single 5G network amid impasse with telcos
- March 2022 - DNB offered 70% stake to telcos
- May 2022 – Big 4 MNOs rejected minority stake in DNB
- June 2022 – 6 telcos took a 70% stake in DNB
- December 2022 – Operators started rolling 5G plans except MXSC

5G rollout plans:

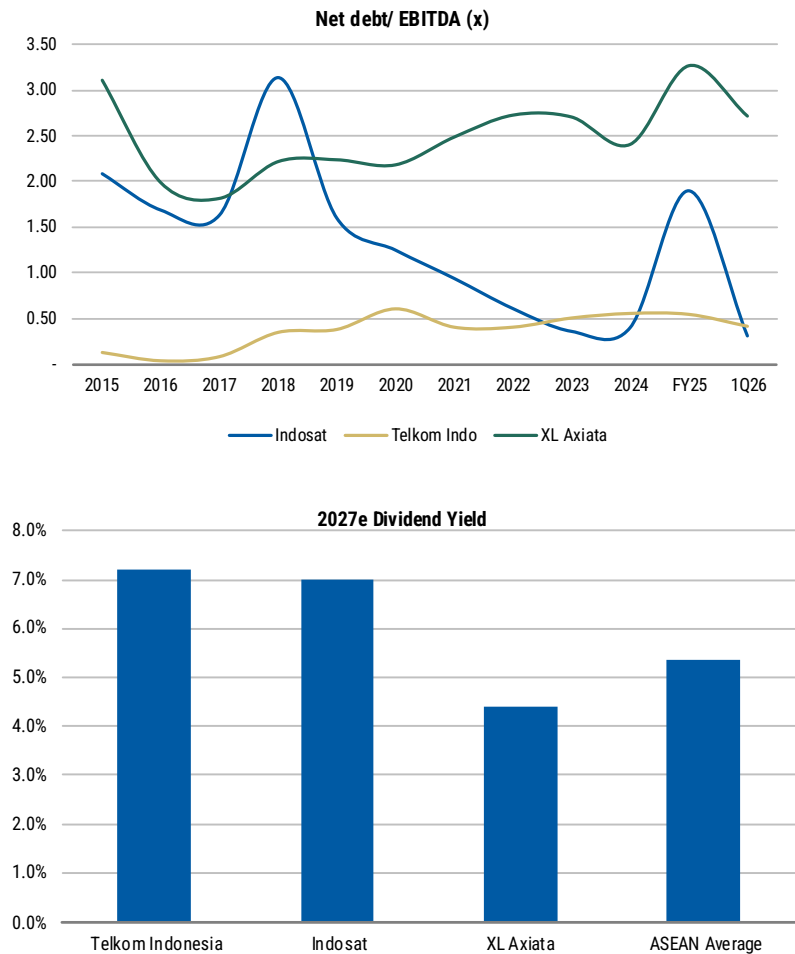
- May 2023 – Malaysia transitioned towards a Dual Wholesale Network
- August 2023 – MXSC launched 5G
- June 2024 – CELC, MXSC, U Mobile, YTL subscribed to DNB
- July 2024 – Tender process for second 5G network
- November 2024 – U Mobile awarded the opportunity to build the country's second 5G network.
- May 2025 – U Mobile sold its 17% stake in DNB to fellow shareholders; targets 80% 5G population coverage within 12 months, 90% in the subsequent 12 months
- Early 2026 – CelcomDigi & Maxis each inject additional RM202mn into DNB
- Early 2026 – TM in dispute with DNB after issuing notice to terminate wholesale access agreement; TM switched to U Mobile under a new three-year agreement

Source: Company data, Morgan Stanley Research.

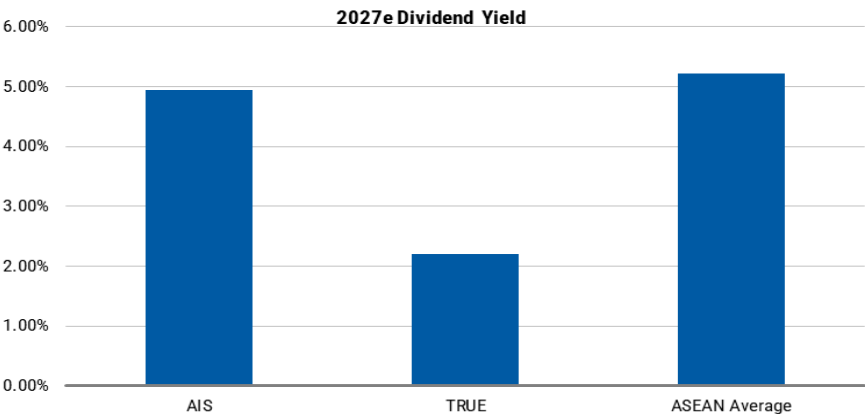
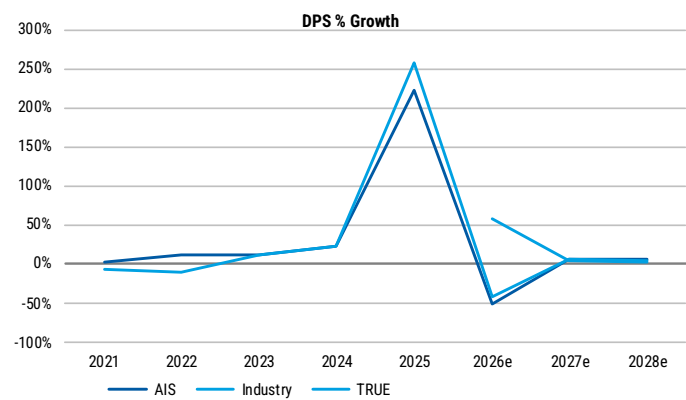
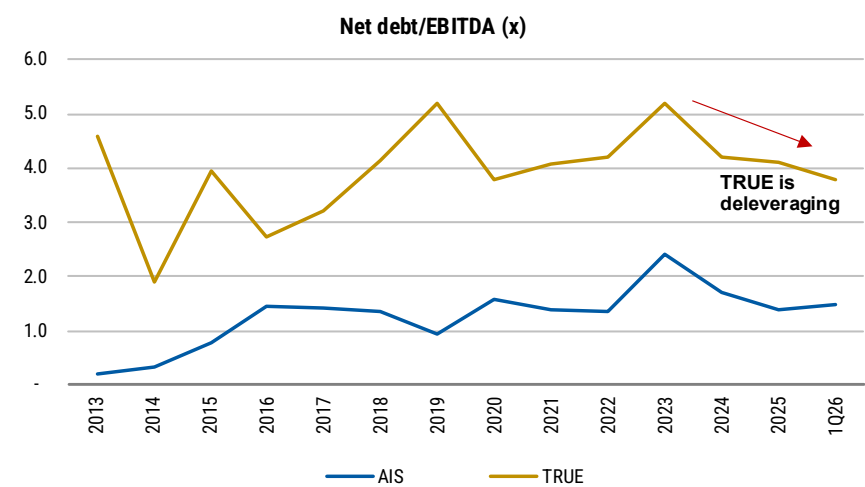
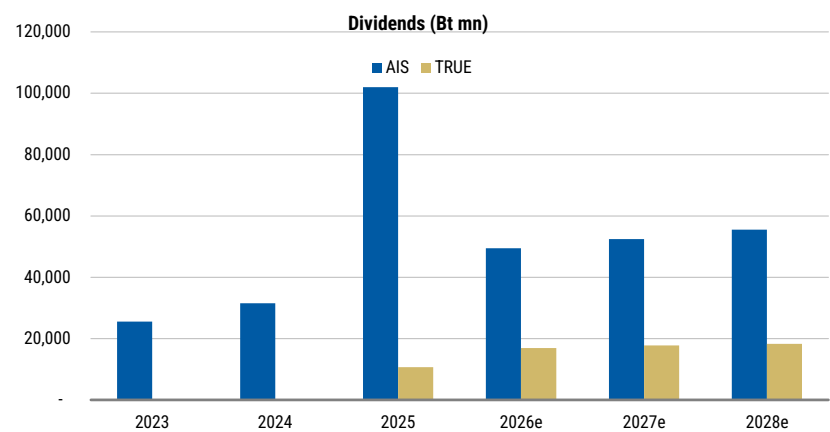
Indonesia: Dividends Expected to Rise



Source: Company data, Morgan Stanley Research estimates.

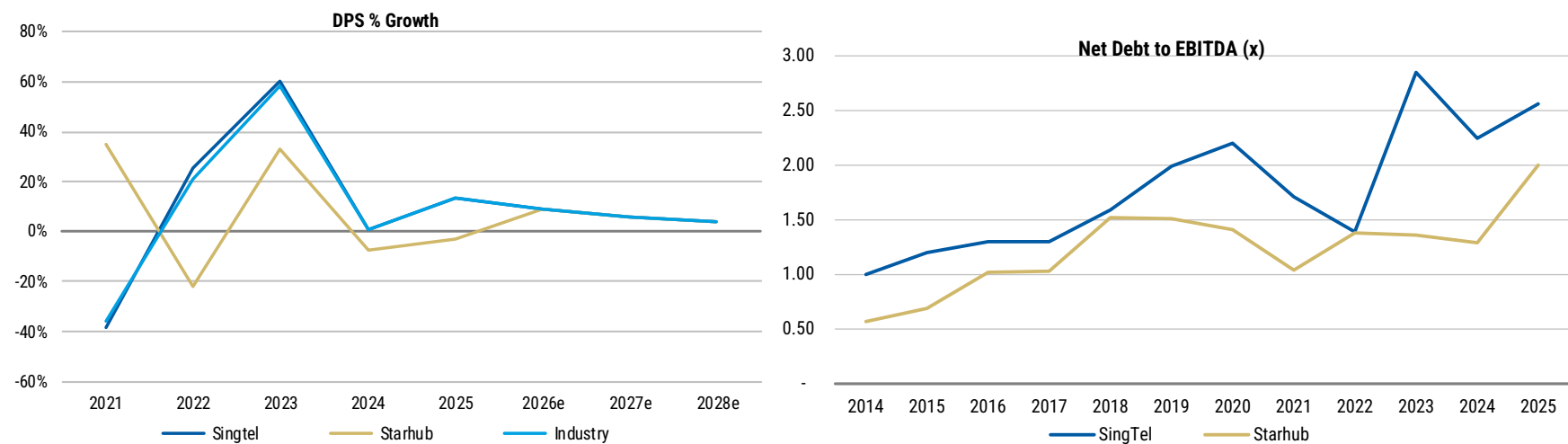


Thailand: Dividends Expected to Rise



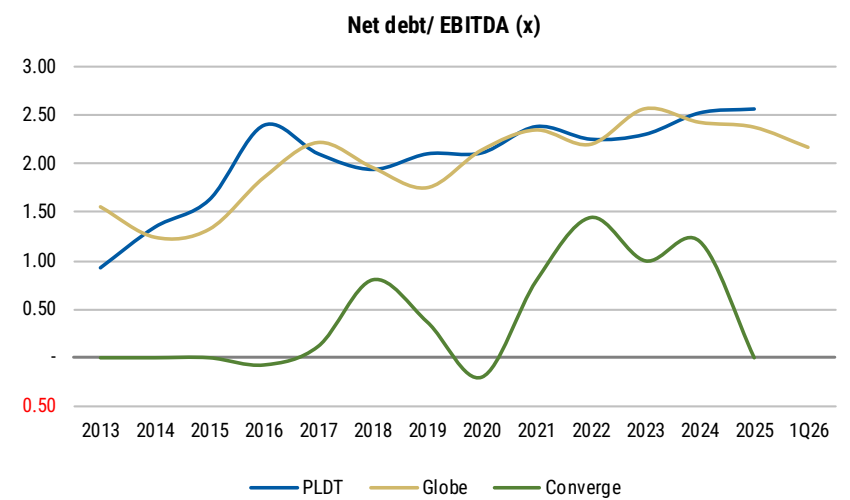
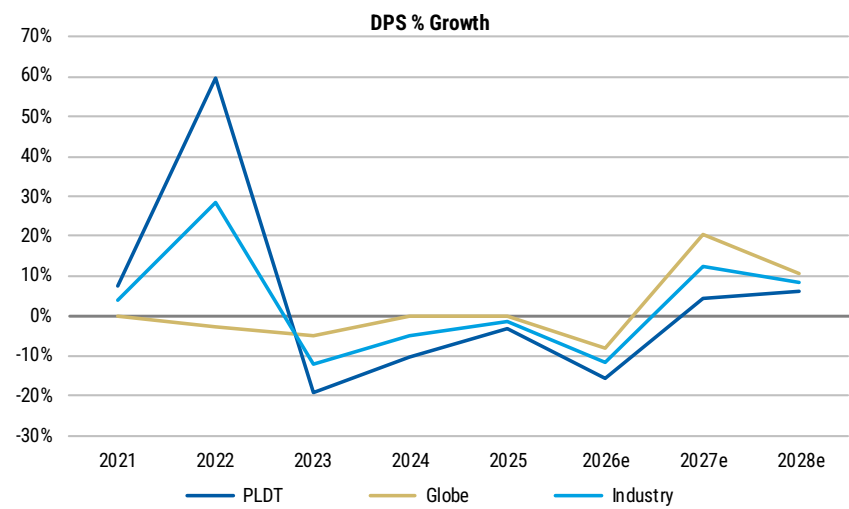
Source: Company data, Morgan Stanley Research estimates.

Singapore: DPS Growth Expected



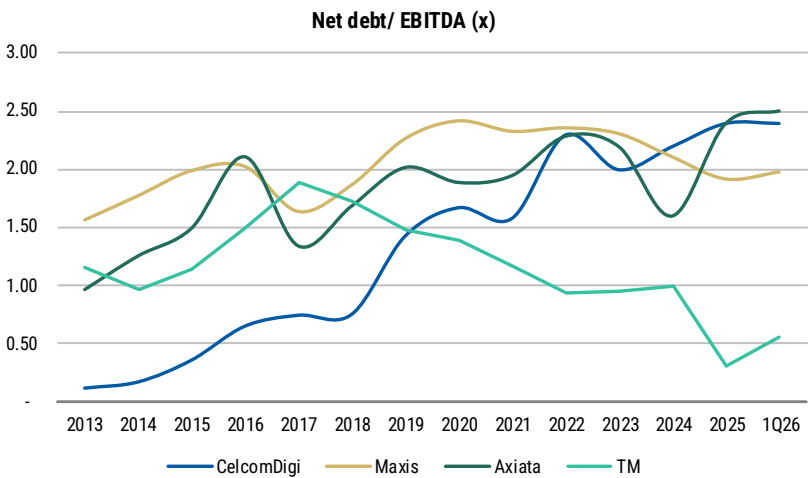
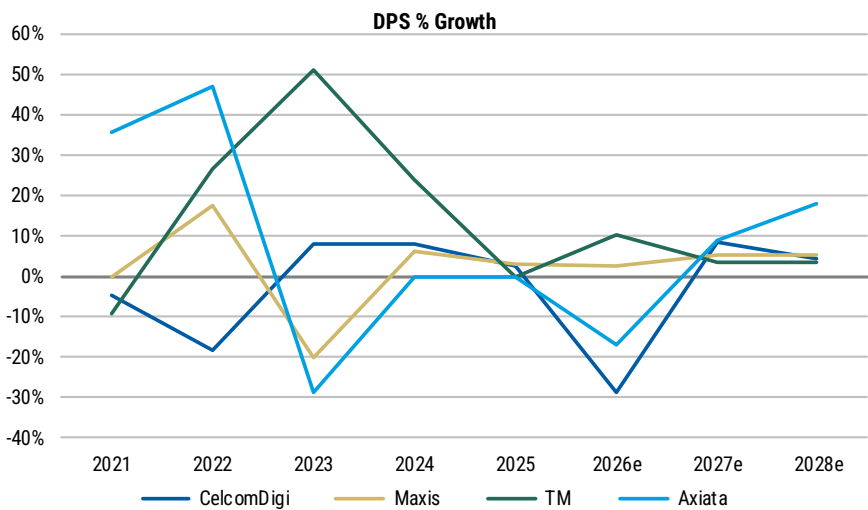
Source: Company data, Morgan Stanley Research estimates.

Philippines: DPS Increase Expected



Source: Company data, Morgan Stanley Research estimates.

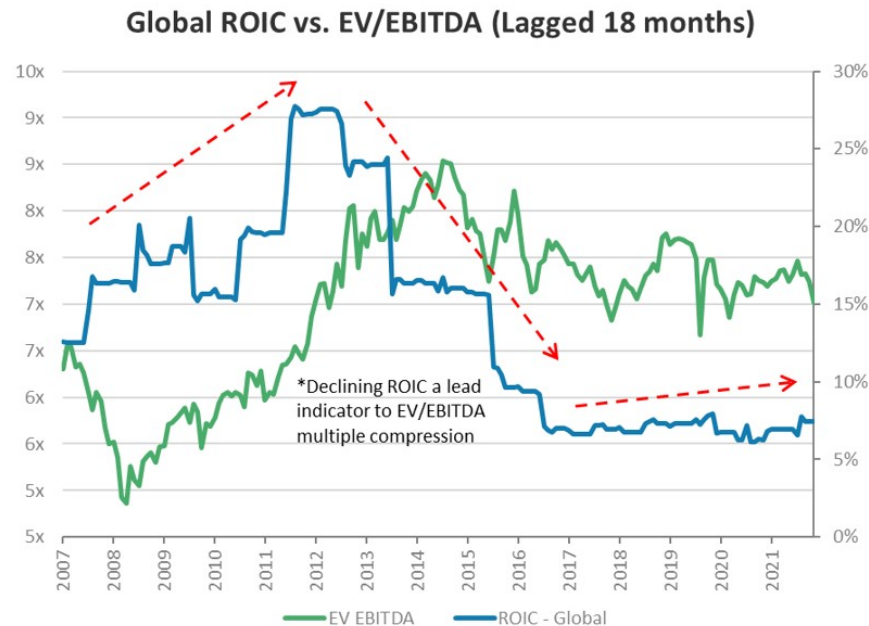
Malaysia: Dividend Growth Post 2025 Expected



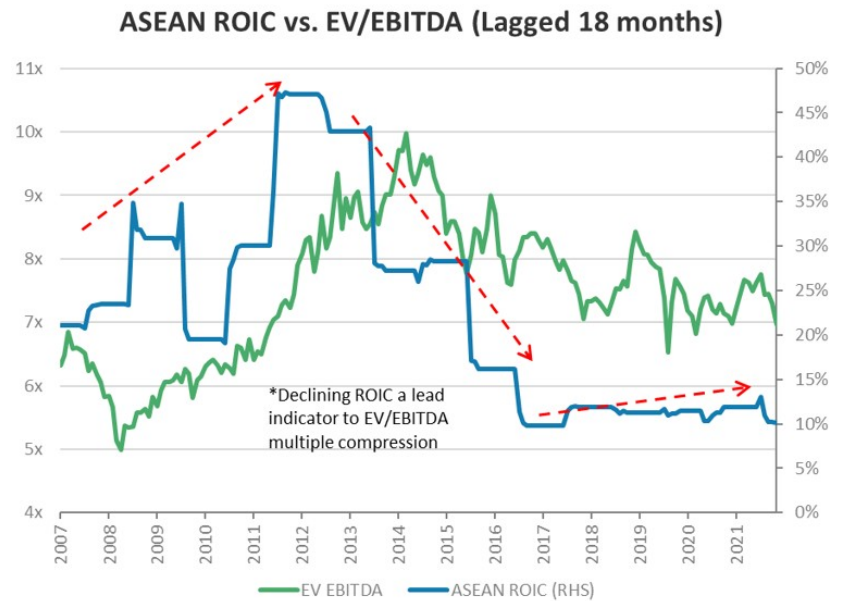
Source: Company data, Morgan Stanley Research estimates.

ROIC is a Leading Indicator for Multiple Re-rating or De-rating

Globally, changes in telecom ROIC lead changes in EV/EBITDA by about 18 months...



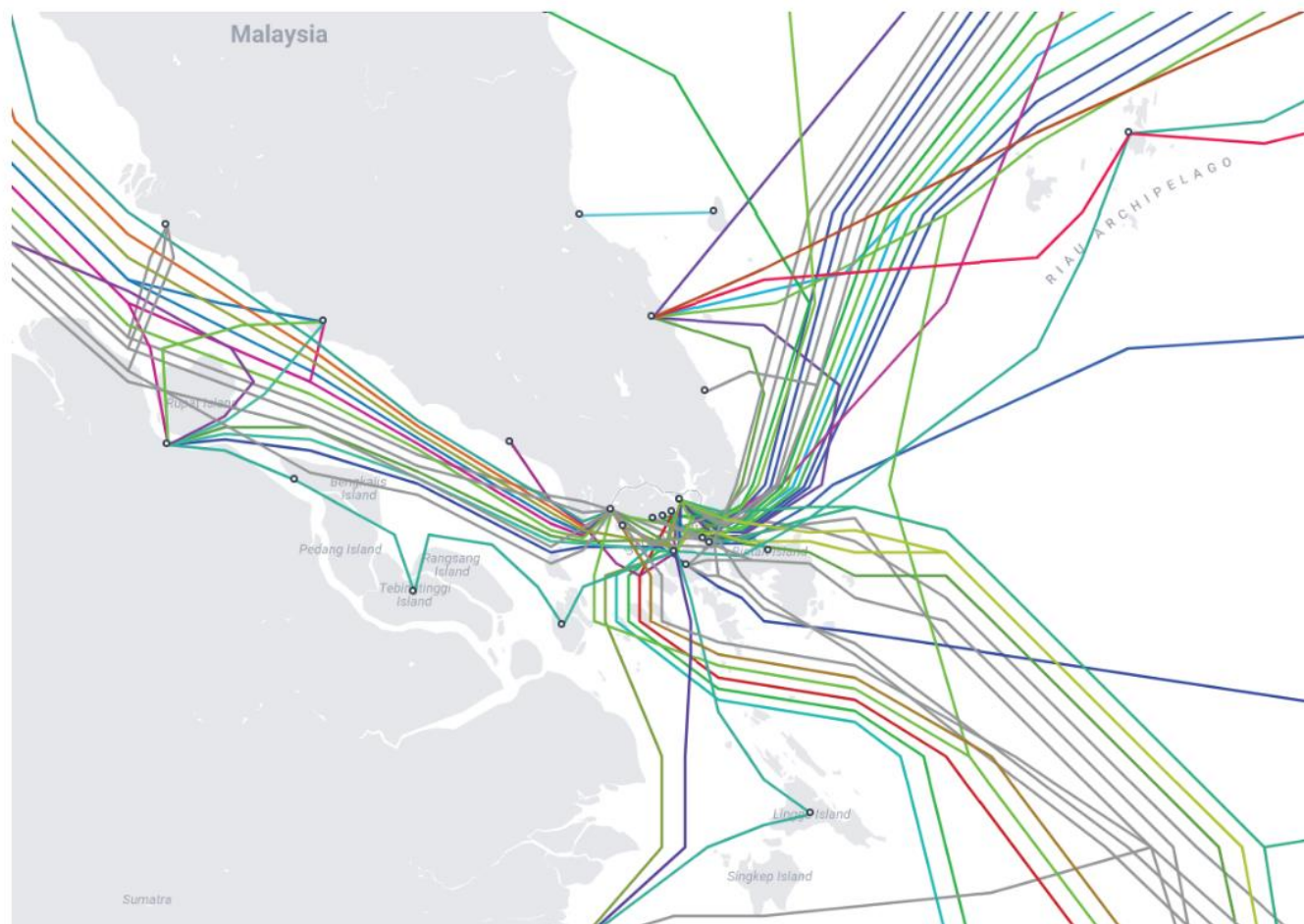
... and the same goes for ASEAN telcos



Source: Refinitiv, company data, Morgan Stanley Research.

Data Centers

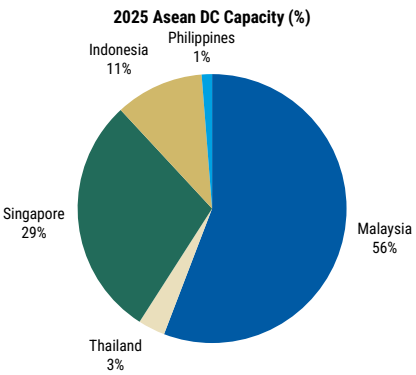
ASEAN Data Centers: Singapore is a Submarine Cable Hub



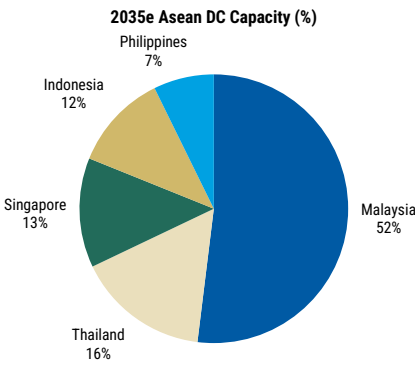
Source: TeleGeography, Morgan Stanley Research.

ASEAN Data Centers: Malaysia is Capturing Overspilling Demand From Singapore

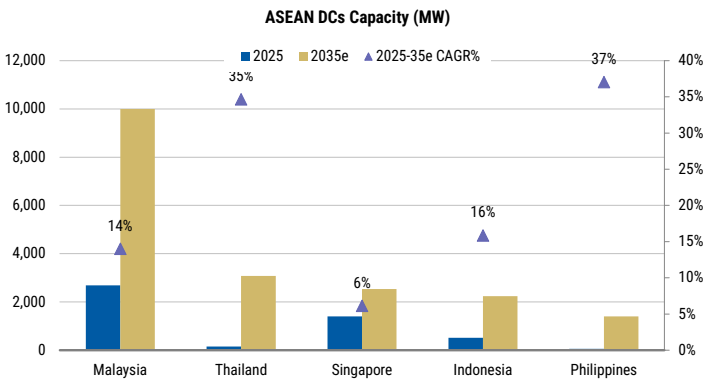
Singapore – ASEAN’s Largest DC Market in 2024



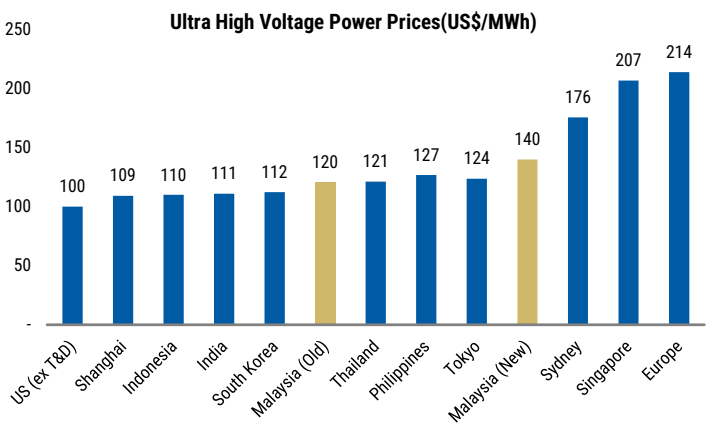
Malaysia to Overtake Singapore in DC Capacity



Malaysia is Experiencing a DC Boom

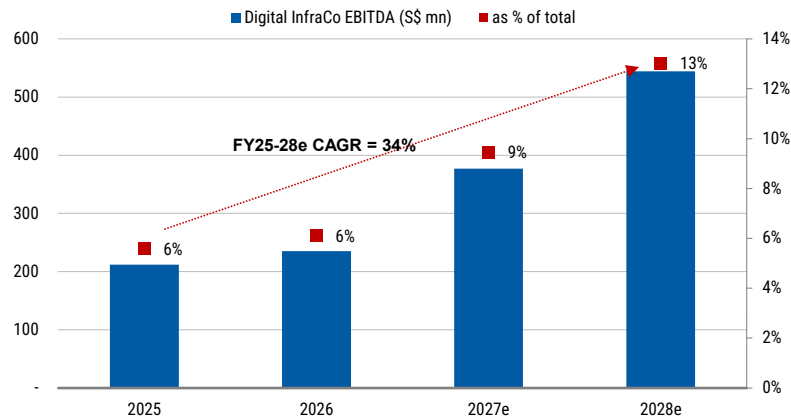
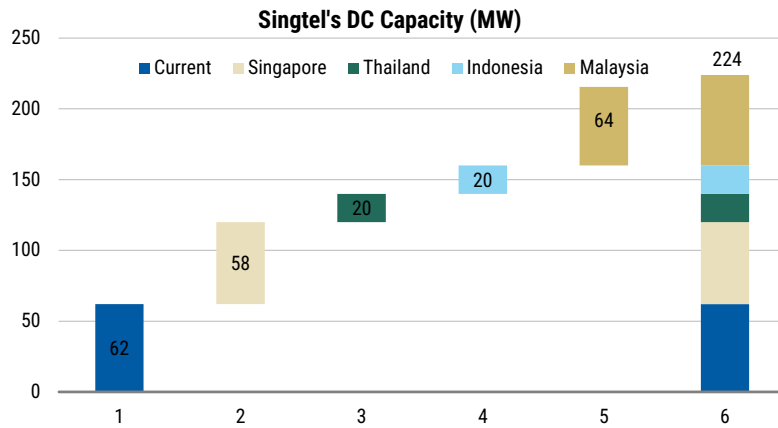


Malaysia Electricity Costs Lower than Singapore



Source: Company data, Morgan Stanley Research.

ASEAN Data Centers: Which Telcos are Building Data Centers?



Source: Company data, Morgan Stanley Research estimates.

SingTel: Leader Amongst ASEAN Telcos

- 2024: 62MW in Singapore
- +58MW in Singapore
- +20MW (1st phase) in Thailand; JV with GULF & AIS
- +20MW (1st phase) in Indonesia; JV with TLKM & Medco
- +64MW (1st phase) in Malaysia; JV with TM

TLKM: Exploring Strategic Partnerships

- 2024: 35 DCs with 38MW capacity
- +18MW in Cikarang
- +18 MW in Batam

Indosat: Leading Indonesia's Sovereign AI

- US\$200mn AI center

Globe: 50% stake in JV with Ayala & STT GDC

- 22MW in 2024, target to reach 52MW by 2026

PLDT:

- Current 64MW capacity
- 11th DC +36MW, evaluating 12th with 100MW

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(as of May 31, 2026)

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Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1542	42%	465	51%	30%	707	43%
Equal-weight/Hold	1571	43%	369	40%	23%	723	44%
Not-Rated/Hold	3	0%	0	0%	0%	1	0%
Underweight/Sell	551	15%	86	9%	16%	201	12%
Total	3,667		920			1632	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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COMPANY (TICKER)	RATING (AS OF)	PRICE* (06/17/2026)
Da Wei Lee Advanced Info Service (ADVANC.BK)	O (02/24/2026)	Bt358.00

Axiata Group Berhad (AXIA.KL)	O (09/29/2025)	RM1.97
Celcomdigi Berhad (CELC.KL)	U (08/20/2024)	RM2.80
Globe Telecom (GLO.PS)	O (05/16/2024)	PP1,809.00
Indosat (ISAT.JK)	E (07/31/2025)	Rp1,855
Maxis Berhad (MXSC.KL)	E (05/20/2024)	RM3.41
PLDT (TEL.PS)	O (12/11/2020)	PP1,108.00
Singapore Telecom (STEL.SI)	O (04/05/2024)	S\$4.35
Telekom Malaysia BHD (TLMM.KL)	O (03/03/2023)	RM7.48
Telekomunikasi (TLKM.JK)	E (04/24/2024)	Rp2,960
True Corporation PCL (TRUE.BK)	O (09/21/2023)	Bt14.00
XL Axiata (EXCL.JK)	U (05/07/2025)	Rp2,580

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